(Answer: (i) Gross profit ratio 40% (ii) Net profit ratio 20%
(iii) Operating cost ratio 75% (iv) Operating profit ratio 25%)

19. Following is the extract of balance sheet of Abdul Ltd., as on 31st March, 2019:

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	2,00,000
(b) Reserves and surplus	50,000
2. Non-current liabilities	
Long-term borrowings	1,50,000
3. Current liabilities	
(a) Trade payables	1,30,000
(b) Other current liabilities	5,000
(c) Short-term provisions	20,000
Total	**5,55,000**

Net profit before interest and tax for the year was ₹ 60,000. Calculate the return on capital employed for the year.

(Answer: Return on capital employed: 15%)

CASE STUDY

Five friends each have ₹ 50,000 to invest. However, all five have different criteria for their investment decision. Fatima wants a high return on her investment. Thenmozhi wishes to invest in a company which performs well. Nivetha wishes to invest in a company which has good control over expenditure. Supraja is an ethical investor. She is concerned that the company's suppliers get their payment on time. Divya wishes to invest in a company with good liquidity position.

They wanted to compare three different companies' financial statements and calculate ratios. Suggest each one the suitable ratios for their investment decision.

To explore further

Calculation of ratios may become difficult when more data are to be used. Is there any solution available for this?

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